

If your relationship ends, you may get stuck with the bills for things you and your partner bought together. If the apartment or house you share was leased in your name based on your joint income, you may find you can't afford the rent after you and your partner split. You may have lent your partner money or cosigned on a loan, only to be left holding the bag. If you buy a house together, you could be the one out on the street but still responsible for paying the mortgage.

What's Covered in a Nonmarital Agreement?

Nonmarital agreements can cover a wide range of issues but are especially critical if you're buying a house together, purchasing other large assets with joint funds, coming into the relationship with previously owned property or assets, or if one of you has a lot of debt. The agreement can accomplish the following:

- Address how property you own and what you accumulate together will be handled if you no longer live together
- Cover how gifts or inheritances will be dealt with
- Include provisions for support after separation or death, or an agreement to waive the right to palimony. Palimony is generally defined as an allowance for support made between unmarried individuals who have cohabitated and are now living separately based on an express or implied promise by one of the parties to the other.
- Spell out who's responsible for the mortgage and who gets to take the tax deduction for interest
- Stipulate that property be kept separate
- Indicate who gets to keep a rental apartment if you split up
- Discuss how credit cards and other debt will be handled

It's a good idea to include a clause stating that mediation will be used for resolving any disputes and that if you still can't come to an agreement after mediation you'll go to formal and binding arbitration.

What Happens Without a Nonmarital Agreement?